

China: Growth of both exports and imports surged in June

Export growth in USD terms increased to 27.0% y-o-y in June (Consensus: 19.0%; Nomura: 16.2%), far above expectations and up sharply from 19.4% in May. Import growth also rose to 36.0% in June from 27.4% in May, notably above market expectations (Consensus: 26.1%; Nomura: 26.2%). As a result, the trade surplus widened further to USD125.6bn in June from USD105.4bn in May, marking the highest monthly surplus on record.

As *we have flagged in recent months*, robust semiconductor trade remained the dominant driver of highly elevated export and import growth in June, with the divergence between value and volume growth still wide, as chip price increases continued to overwhelm quantity growth. We estimate integrated circuits (ICs) contributed 6.5pp to headline export growth in June. Together with automatic data processing (ADP) equipment, which is also closely linked to the current global AI boom and contributed an additional 2.9pp, AI-related exports accounted for 9.4pp of total export growth. Although the proportional contribution to total export growth has moderated slightly from the previous two months, chips remain the absolute primary driver, underscoring the outsized role of the global AI supercycle. Moreover, price effects continued to play a major role in the growth of both exports and imports in June. Automobiles also remained a key driver of export growth in June, with its contribution second only to AI-related products.

Export growth to the US slowed sharply to 15.0% y-o-y in June from 37.3% in May, largely due to base effects, although it remained in double-digit territory. Export growth to the EU and ASEAN surged, with EU-bound export growth rising to 18.6% y-o-y in June from 7.3% in May, reflecting the ongoing trade imbalance, as we recently highlighted that *trade tensions between Beijing and Brussels are likely to intensify in H2*.

On the import side, crude oil imports continued to contract sharply, with volumes down 41.3% y-o-y in June (May: -29.0%), dragging down import growth by 0.6pp, which reflects Beijing's deliberate reductions in purchases amid elevated prices. The far larger driver was still ICs, which alone contributed 11.9pp to June's import growth. Growth of imports from South Korea rose further to 84.8% y-o-y in June from 84.3% in May, also signalling strong tech import momentum.

The strong value growth of semiconductor trade remained fully intact

The ongoing AI-driven global technology supercycle continues to support semiconductor trade, with the price-volume divergence remaining wide in June.

- Growth of integrated circuit exports in value terms increased further to 122.3% y-o-y in June from 111.0% in May, while it turned negative in volume terms to -0.4% (May: 2.1%), implying a price contribution of 122.7pp, which represents more than a 100% price effect and another widening from May's 108.8pp.
- ICs contributed 6.5pp to headline export growth in June (or 24.1% of the total) with the price effect alone accounting for all the growth, underscoring the outsized impact surging chip prices are having on nominal export growth.
- On the import side, ICs account for a larger share of imports than exports. Growth of IC imports in value terms increased to 72.3% y-o-y in June from 68.0% in May, while it rose to 6.6% in volume terms (May: -1.0%), with price effects contributing 61.7pp to June growth, narrowing from May's 69.8pp.
- By our calculations, ICs alone accounted for 11.9pp of headline import growth in June (or 32.9%), with price effects contributing the overwhelming majority.

Export growth to EM broadly outpaced DM

On DM, export growth to the US slowed markedly to 15.0% y-o-y in June from 37.3% in May on less-supportive base effects, while growth to the EU increased to 18.6% from

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7.3%. Amid rising China-Japan tensions, export growth to Japan fell to 7.1% y-o-y in June from 10.7% in May, while export growth to South Korea strengthened further to 43.7% from 42.7% on booming chip trade. Exports accelerated broadly across EM, with growth to ASEAN, India and Africa surging to 36.8% y-o-y, 40.8% and 28.0%, respectively, in June from 24.7%, 19.3% and 18.6% in May.

China's trade growth with the US remained elevated

As favourable base effects subsided, export growth to the US dropped to 15.0% y-o-y in June from 37.3% in May. However, with a still-elevated pace, year-to-date export growth to the US turned positive in June, rising to 0.2% y-o-y from -2.7% in May. With US-bound export growth averaging -27.7% y-o-y in H2 2025, base effects will remain supportive in H2 2026. As the Trump administration is expected to impose a new Section 301 tariffs of 12.5% on China to replicate the IEEPA tariff framework after Section 122 tariffs expire on 24 July, this upcoming tariff might have encouraged some front-loading of exports to the US in recent months. Although the new Board of Trade will likely reciprocally lower tariffs on about USD30bn worth of non-sensitive goods, but it may only cover about 10% of China's exports to the US.

Import growth from the US increased further to 25.2% y-o-y in June from 20.4% in May, as China may have stepped up purchases of US agricultural products. Overall soybean import growth rebounded to 18.8% y-o-y in June from -10.3% in May. As a result, China's trade surplus with the US widened to USD28.9bn in June from USD26.0bn in May and USD26.7bn in June 2025. As part of the agreement reached during Trump's visit to Beijing, China has resumed purchases of US aeroplanes, which should support China's imports from the US. On 26 June, China Southern Airlines, the largest airline company in China, announced it will purchase seven Boeing jets for about USD3.62bn, with options to buy three additional jets for a total potential value of USD5.24bn.

Surging export growth in electrical products

Export growth of electronic products in value terms continued to surge amid the global AI upcycle, primarily driven by price effects rather than real volumes. Growth of integrated circuit exports surged further to 121.9% y-o-y in June from 111.0% in May, as global chip prices remained elevated. Export growth of automatic data processing (ADP) equipment and components (mainly computers and parts thereof) remained elevated at 53.2% y-o-y in June (May: 66.1%). Growth of mobile phone exports moderated to 27.8% y-o-y in June from 43.9% in May, which was also driven by price effects due to surging input costs.

On transport equipment, growth of auto exports (including chassis) surged to 69.5% y-o-y in June from 39.3% May, amid rising global demand for EV cars. Growth of auto spare part exports also increased notably to 19.0% y-o-y in June from 5.1% in May. Growth of ship exports surged further to 42.4% y-o-y in June from 29.7% in May.

Export growth of labor-intensive products broadly improved in June. In particular, export growth of clothing, shoes, bags and toys came in at 3.0% y-o-y, -1.1%, 1.7% and -6.4%, respectively, in June, up from -4.1%, -10.3%, -4.9% and -7.0%, in May.

Import growth remained accelerated amid surging energy and chip prices

Import growth also increased to 36.0% in June from 27.4% in May, beating market expectations (Consensus: 26.1%; Nomura: 26.2%), largely driven by a pickup in major commodity imports excluding oil, as well as price effects from AI-related tech products.

Non-oil ordinary imports value growth increased to 33.5% y-o-y in June from 12.1% in May, driven by both AI-related products as well as major commodities excluding oil. Value growth of processing and assembly imports, which are more AI-related, surged further to 51.2% y-o-y in June from 44.9% in May, amid rising prices of AI-related products including memory chips. Growth of integrated circuits in value terms surged further to 72.3% y-o-y in June from 68.0% in May, while in volume terms, it picked up to 6.6% y-o-y from -1.1%.

On crude oil imports, value growth dropped notably to -7.4% y-o-y in June from 15.3% in May, driven by both price and volume effects. In volume terms, it dipped further to -41.3% y-o-y in June from -29.0% in May, despite falling oil prices.

Import volume growth for other key commodities broadly increased in June. Volume growth of coal and soybeans rebounded notably to 29.5% y-o-y and 7.8%, respectively, in June, from -7.7% and -15.3% in May. Volume growth of iron ore also picked up to 6.4% y-o-y in June from -0.4% in May. Volume growth of copper edged down to 4.0% y-o-y in June from 4.7% in May.

Fig. 1: Merchandise trade related indicators

Merchandise trade related indicators	Jun 26	May 26	Q2 26	Q1 26	2025	2024
Exports (% y-o-y)	27.0	19.4	20.2	14.7	5.4	5.8
By destination: the US	15.0	37.3	20.1	-16.3	-20.0	4.9
European Union	18.6	7.3	13.1	21.1	8.4	3.0
Japan	7.1	10.7	7.3	6.9	3.5	-3.5
ASEAN	36.8	24.7	25.1	20.5	13.4	12.0
Imports (% y-o-y)	36.0	27.4	29.5	23.2	0.2	1.0
By origin: the US	25.2	20.8	18.6	-17.6	-14.6	-0.1
By type of trade:						
Ordinary imports	25.3	12.5	11.8	11.8	-4.2	-3.1
Non-oil ordinary imports	33.5	12.1	19.0	16.4	-3.1	-2.8
Crude oil imports	-7.4	15.3	7.0	-4.7	-8.8	-3.9
Processing & assembly imports	51.2	44.9	43.5	34.8	11.9	5.7
Commodities, in volume terms						
Crude oil	-41.3	-29.0	-30.3	8.9	4.4	-1.9
Iron ore	6.4	-0.4	2.3	10.5	1.8	4.9
Copper	4.0	4.7	3.6	-14.2	-6.4	3.4
Coal	29.5	-7.7	2.1	1.3	-9.6	14.4
Soybeans	7.8	-15.3	4.1	-3.1	6.5	5.7
Trade balance (USD bn)	126	105	316	262	1181	993
By destination: the US	26	26	76	49	280	361

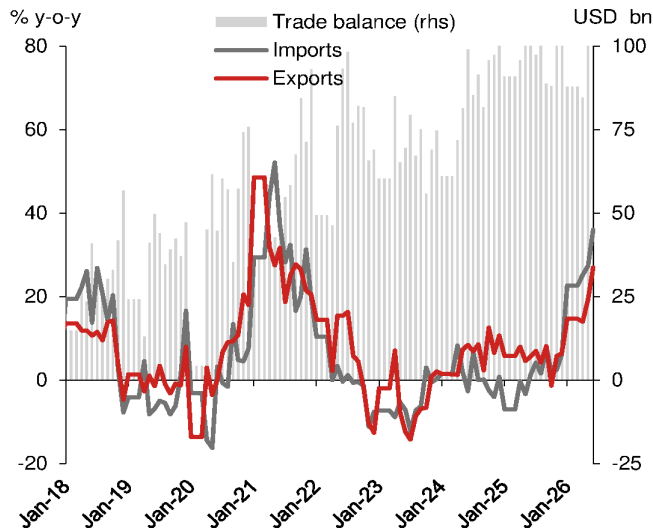
Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 2: Export by key product

Major export goods (in USD terms)	Jun 26	May 26	Q2 26	Q1 26	2025	2024	Jun 26
	y-o-y, %						Contribution to export growth (pp)
Vehicle							
Motor vehicles and chassis	69.5	39.3	50.4	58.5	21.4	15.5	2.30
Automobile spare parts	19.0	5.1	10.2	4.7	2.5	6.6	0.48
Electrical products							
Automatic data processing equipment and components	53.2	66.1	55.3	26.7	-1.4	9.9	2.91
Integrated circuits	122.3	111.0	111.4	77.5	26.6	17.3	6.48
Mobile phones	27.8	43.9	27.0	-4.7	-9.4	-3.2	0.63
Audio-video equipment and parts	12.4	19.1	13.1	13.2	5.5	4.6	0.13
Liquid crystal display panels	9.4	-5.2	0.4	15.3	11.0	9.0	0.08
Mechanical products							
Universal mechanical equipment	15.2	2.4	4.6	7.1	6.1	14.2	0.27
Ships	42.4	29.7	15.9	48.7	27.0	57.3	0.58
Medical devices	17.0	17.3	16.4	11.5	6.0	7.0	0.09
Property-related products							
Ceramic products	-48.9	-53.2	-52.6	9.2	-3.3	-15.7	-0.33
Home electric appliances	15.4	9.5	10.6	1.5	-3.9	14.0	0.38
Lighting and parts	-4.3	-11.8	-11.7	-5.3	-12.4	-0.2	-0.05
Furniture and parts	9.0	1.9	2.3	3.0	-6.2	5.7	0.15
Commodities & industrial products							
Steel products	10.3	-2.3	-0.4	-10.8	-1.3	-1.1	0.21
Unwrought aluminum and aluminum products	76.9	38.4	48.0	16.5	-3.3	15.2	0.40
Petroleum products	30.6	35.6	24.4	3.6	-8.5	-13.3	0.31
Rare earth	178.8	237.4	202.1	-9.0	4.6	-36.0	0.01
Agricultural products							
Aquatic products	10.5	-1.2	3.3	-3.8	0.0	1.3	0.05
Grain	23.1	-25.5	-9.2	8.8	27.3	-18.9	0.01
Fertilizers	-54.8	7.5	-16.4	22.6	57.9	-11.5	-0.23
Chinese herbs & medicines	33.5	-1.2	13.2	10.8	-7.2	-0.4	0.01
Labor intensive products							
Plastic products	17.5	12.7	12.8	7.5	-1.4	5.2	0.52
Bags & containers	1.7	-4.9	-4.7	-1.1	-13.5	-3.3	0.02
Garments and clothing accessories	3.0	-4.1	-0.9	-0.4	-5.0	0.0	0.14
Footwear	-1.1	-10.3	-9.1	-8.0	-11.3	-5.0	-0.01
Toys	-6.4	-7.0	-8.4	-14.8	-12.7	-1.7	-0.07
Textile, yarn and fabrics	12.2	-0.3	4.2	2.8	0.4	5.5	0.45
Electrical-mechanical products	34.3	27.4	27.4	21.4	8.3	7.4	20.49
Hi-tech products	52.6	51.0	47.6	28.6	7.4	4.7	12.63

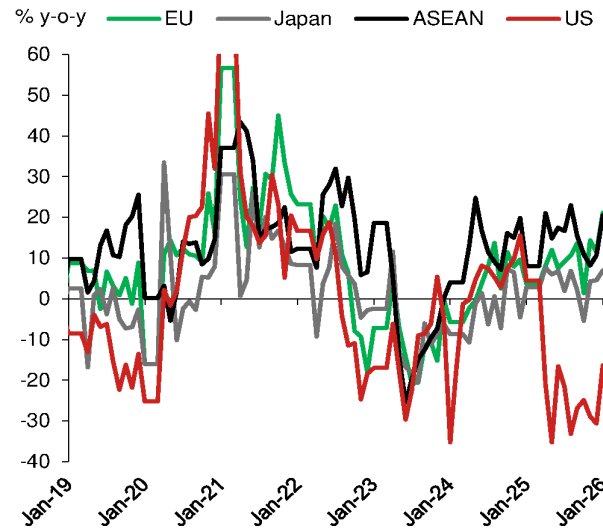
Note: Key products are recombined items by HS code. Agricultural, electrical-mechanical and high-tech products are broader categories that may overlap with each other and other key products.

Source: General Administration of Customs, Nomura Global Economics.

Fig. 3: Export growth, import growth and the trade balance

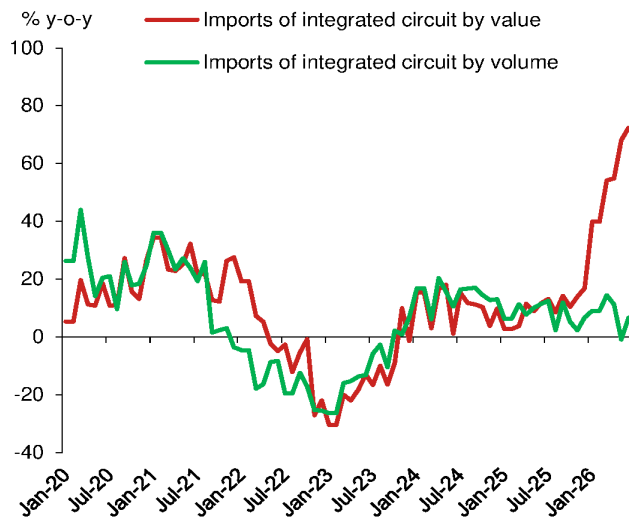
Note: We use the average of January-March data to largely smooth out the CNY distortions.

Source: General Administration of Customs, Wind, Nomura Global Economics

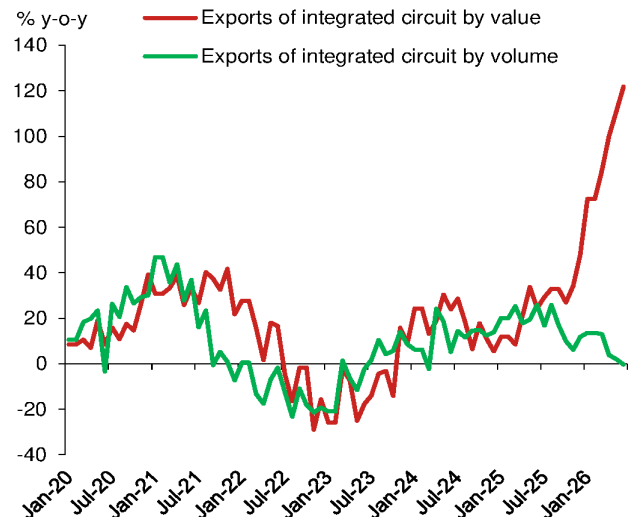
Fig. 4: Breakdown of exports by destination

Note: We use the average of January-March data to largely smooth out the CNY distortions.

Source: General Administration of Customs, Wind, Nomura Global Economics

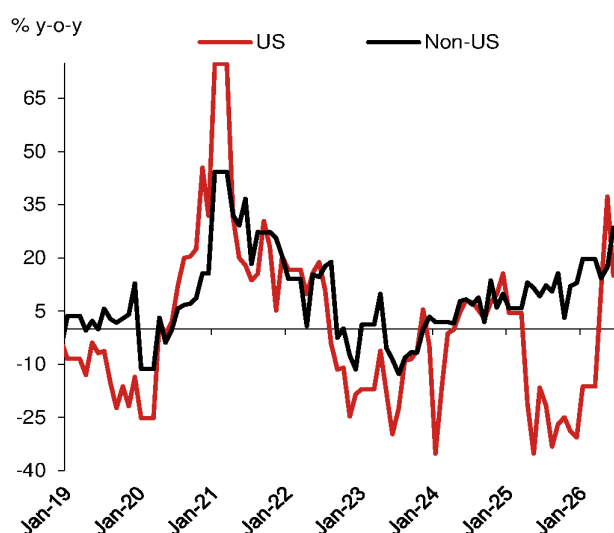
Fig. 5: Growth of integrated circuit imports — a sharp divergence between value growth and volume growth

Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 6: Growth of integrated circuit exports — a huge divergence between value growth and volume growth

Source: General Administration of Customs, Nomura Global Economics

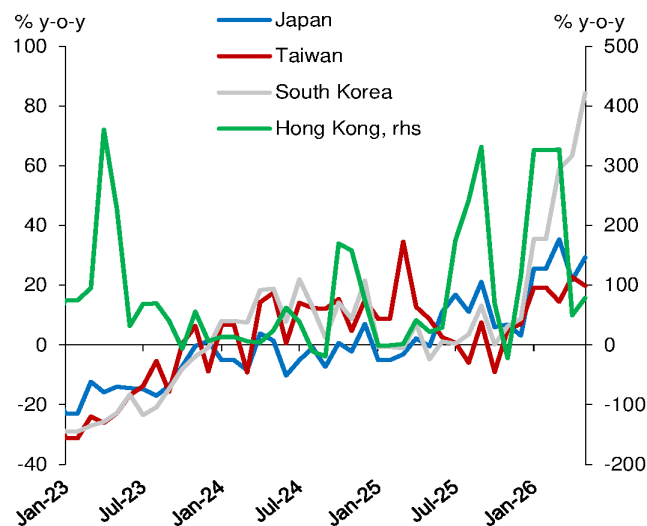
Fig. 7: Export growth to the US and non-US destinations



Note: We use the average of January-March data to largely smooth out the CNY distortions.

Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 8: Breakdown of imports by type of trade



Source: General Administration of Customs, Wind, Nomura Global Economics

Appendix A-1

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